Executive brief

Integrated workforce strategy

Prepared by John · 30 September 2026 · For the Board Compensation Committee

1. Executive summary

NovaTech does not yet have the workforce to execute its three-year AI plan. In FY2023, Product Engineering and Data Science each lost 22% of staff, against a 9.5% benchmark. Replacing those exits costs about $44.2 million. AI-skill coverage is 29.7%, against a 65% target by Q4 FY2025, and only 198 of 1,221 people who need reskilling are enrolled. Three acquired teams, 405 people, are above 12% attrition with no integration plan started. Approve a pay-and-path retention move, a sequenced reskilling program, and a 90-day integration sprint.

2. Current state

Workforce composition

The planning file covers 3,666 employees, not the 4,200 in the scenario. Product Engineering is 1,000 (27%), Customer Success 600 (16%), Sales 540 (15%), and Data Science 300 (8%). Acquired headcount is 405, not 900.

Attrition and what it costs

Company attrition rose from 7.5% in FY2022 (250 exits) to 13.8% in FY2023 (493 exits). The benchmark moved only one point, from 8.5% to 9.5%. Engineering exits rose from 72 to 198, and data science exits from 20 to 66. Acquired-team attrition runs from 12.5% to 14.1%. Engineering leavers cite career path and AI-role anxiety. Data science leavers cite poaching. Replacement cost is about $29.7 million in engineering and $14.5 million in data science. One senior engineer costs $197,500 to $297,000 to replace, against $7,000 to $25,000 a year to close a below-market band.

Tenure

Average tenure is 3.6 years. 16% of staff have less than one year, and 24% have more than five. Data Science has 8 people with 10 or more years. 70% of acquired employees are in their first year.

Workforce health

Weighted engagement fell from 70 to 63, and weighted eNPS is -8. Engineering, data science, and the acquired teams are the red rows. Acquired action plans are Not Started. Finance, Legal, and Marketing are healthy. Mobility and time-to-fill are not in the file.

Indicator	Now	Benchmark or target	Status
Company voluntary attrition	13.8%	9.5%	Off track
Engineering and data science attrition	22%	9.5%	Off track
AI-skill coverage	29.7%	65% by Q4 FY2025	Off track
Engagement, Q4, weighted	63	72	Off track
eNPS, Q4, weighted	-8	+10 to +30	Off track
Average tenure	3.6 years	Not in file	Watch

Benchmarks are from the workbook. Tenure has none.

3. AI impact on the roles that change the plan

Coverage is 1,090 employees (29.7%). Department targets leave 1,221 people to reskill, and 198 are enrolled. The largest groups are engineering (380, 85 enrolled), customer success (210, 22 enrolled), and sales (173, 15 enrolled). DataBridge and TeamSync are 54 and 51 points short of target. Engineering is first in line.

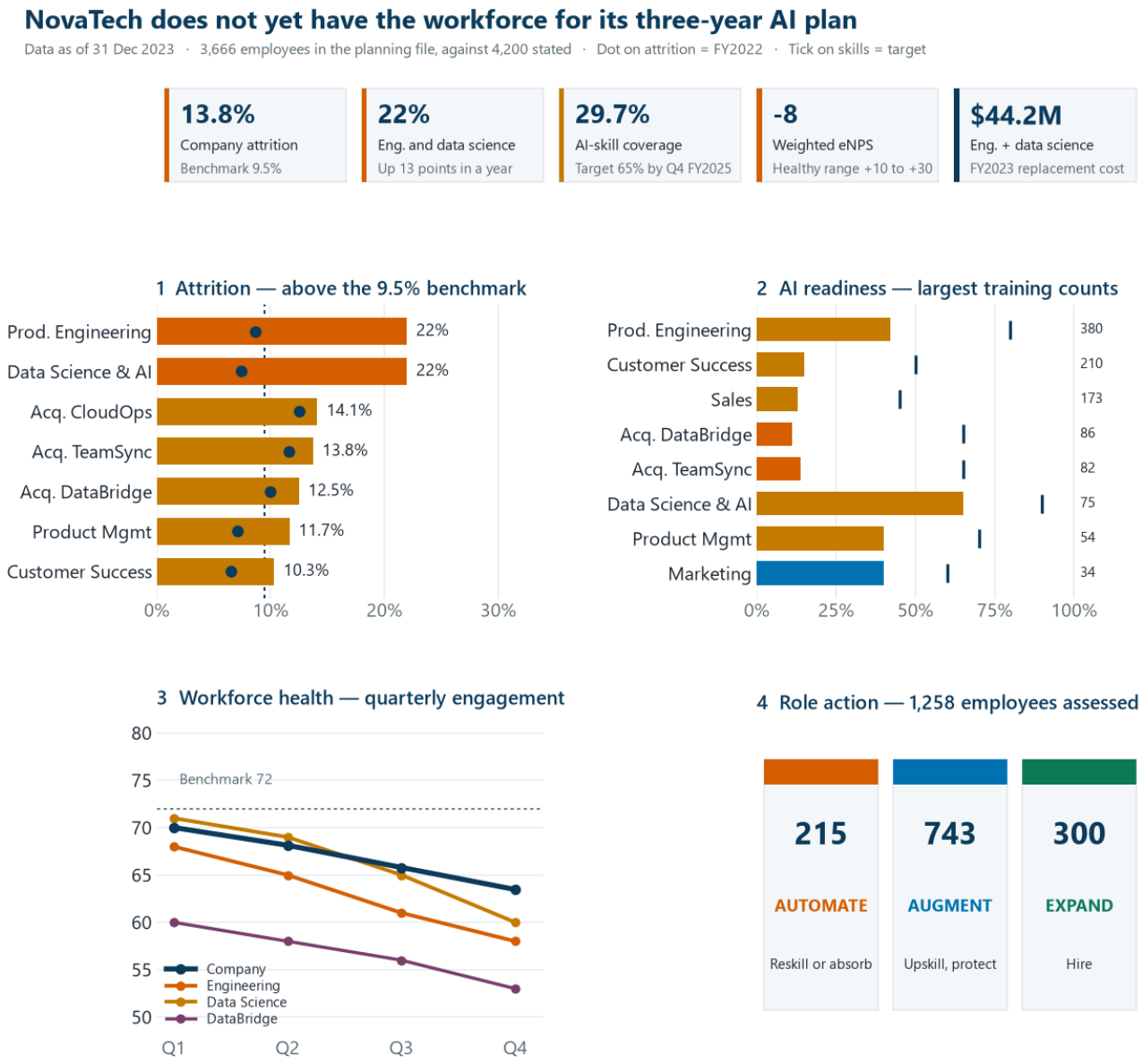
Role	People	AI exposure	Decision

QA test engineer	120	High	Reskill to AI-QA
Technical writer	40	High	Absorb vacancies
IT operations technician	55	High	Absorb vacancies
Data analyst	85	High	Upskill
ML, data, and platform engineers	265	Strategic	Hire
AI product manager	35	Strategic	Hire
Customer success manager	180	Strategic	Protect
Enterprise account executive	130	Strategic	Protect

High means an exposure score of 4 or 5.

4. How leadership will monitor health

Four views share one department list and cover 1,258 assessed employees: 215 to automate, 743 to augment, and 300 to expand. The Compensation Committee reviews quarterly. The Chief People Officer and the Chief Technology Officer review red departments monthly. Triggers are attrition above 15% in engineering or data science, above 12% in any department, engagement under 60 or down 3 points in a quarter, a negative eNPS, or AI coverage short of 45% at Q4 FY2024.



Four views. Full-size charts are in the dashboard file.

5. Recommendations

1. Pay to midpoint, and the career path in the same quarter.

Item	Detail
Finding	22% attrition, up more than 13 points. Senior engineering is 7–8% under midpoint. Data-science bands are 6–11% under. Engineering eNPS is −22.
Action	Move below-market bands to midpoint, including product management, and publish the AI career path in the same quarter.
Owner	Chief People Officer, with the CFO and the CTO.
Timing	Decide in 90 days. Live in Q2 FY2024.
Success metric	Both functions at or below 12% attrition by Q4 FY2025, and eNPS at or above zero by Q4 FY2024.

2. Reskill in order. Hire only where demand rises.

Item	Detail

Finding	198 of 1,221 people are enrolled (16%). AI product managers number 35. The hire set is 265 ML, data, and platform engineers.
Action	Enroll 700 learners in FY2024, starting with engineering, then customer success, sales, TeamSync, and DataBridge. Hire only the expand roles. Absorb writer and IT vacancies. Fill QA as AI-QA hybrids.
Owner	CTO and Chief People Officer.
Timing	Cohort plan within 90 days.
Success metric	Coverage 45% by Q4 FY2024 and 65% by Q4 FY2025. AI product managers from 35 to at least 53. 80% of QA retrained by Q4 FY2025.

3. One rhythm for the acquired teams, within 90 days.

Item	Detail
Finding	405 people, tenure 1.1–1.4 years, attrition 12.5%–14.1%, eNPS −20 to −32. Action plans are Not Started. Their pay bands are not in the file.
Action	Name one owner. Run pay parity against NovaTech bands. Put all three teams on one performance framework. Start the action plans.
Owner	Chief People Officer and the Regional HR Directors.
Timing	90 days from board approval.
Success metric	By Q3 FY2024, each team at or below 10% attrition, and eNPS up at least 15 points from its Q4 FY2023 score.

6. Risks and how to limit them

Risk	Likelihood	Mitigation	Early warning
Pay rises before the career path is real. Engineering's first exit reasons are career clarity and AI anxiety.	High	The path is a condition of the pay change.	Exit reasons still led by career path or AI anxiety after two quarters.
Reskilling stays near 16% enrollment. Acquired teams are near zero.	High	Protect learning hours for the first engineering cohort, with a quarterly enrollment floor.	Fewer than 100 new learners in a quarter.
Targets get locked on 3,666 people against a stated 4,200, and 405 acquired employees against 900.	High	Reconcile Workday before the operating plan is approved.	Unexplained headcount variance above 2%.

The Chief People Officer reviews these risks monthly. The Compensation Committee reviews them quarterly.

Appendix. Sources and assumptions

Workbook as of 31 December 2023. Rates use the file's own formulas, and company figures are headcount-weighted. Engineering cost assumes a 60/40 junior-mid to senior mix because leaver level is missing. Attrition in the file is annual.